

“Core and Satellite”

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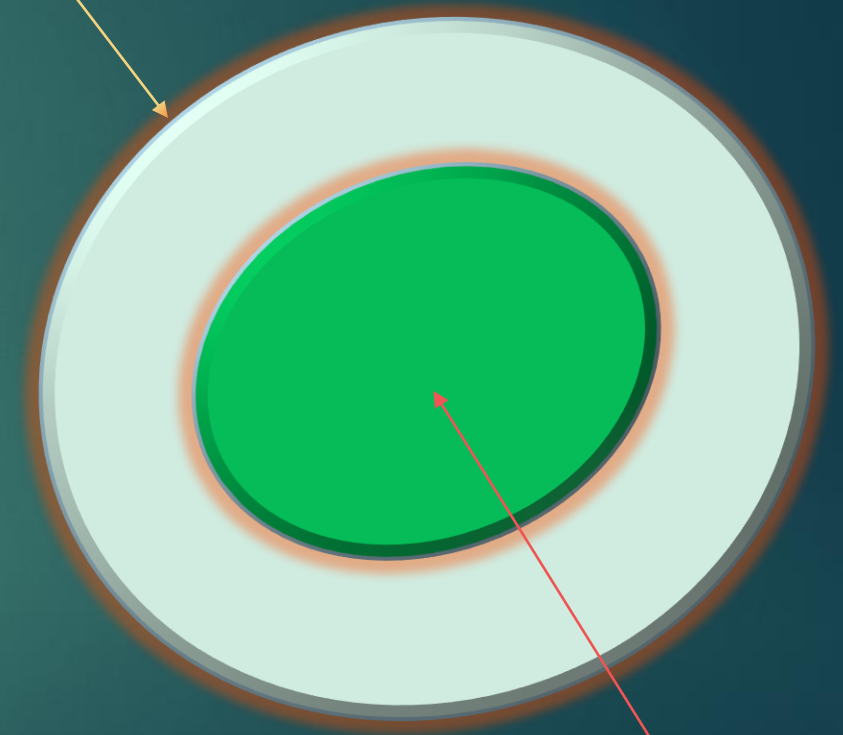
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“Core-Satellite” portfolio...

- ▶ an approach to asset allocation.
- ▶ divides into main two parts.
- ▶ is generally suitable for all types of investors and works well in most types of markets, making it an “all-weather” strategy.
- ▶ can be customised to achieve the investor’s objectives over the specified investment horizon.

Satellite: 10%-40%



Core: 60%-90%

What is a Core Portfolio?

A “Core” port generally comprises about 60-90% of the portfolio, depending on an investor's objectives risk tolerance and investment horizon.

Nowadays it is widely accepted that any type of the funds (active and passive) that is well diversified can be considered for the core port.

It is built with a long-term perspective, based on SAA and spread cross multiple asset classes (equity, fixed Income, alternatives, etc.)

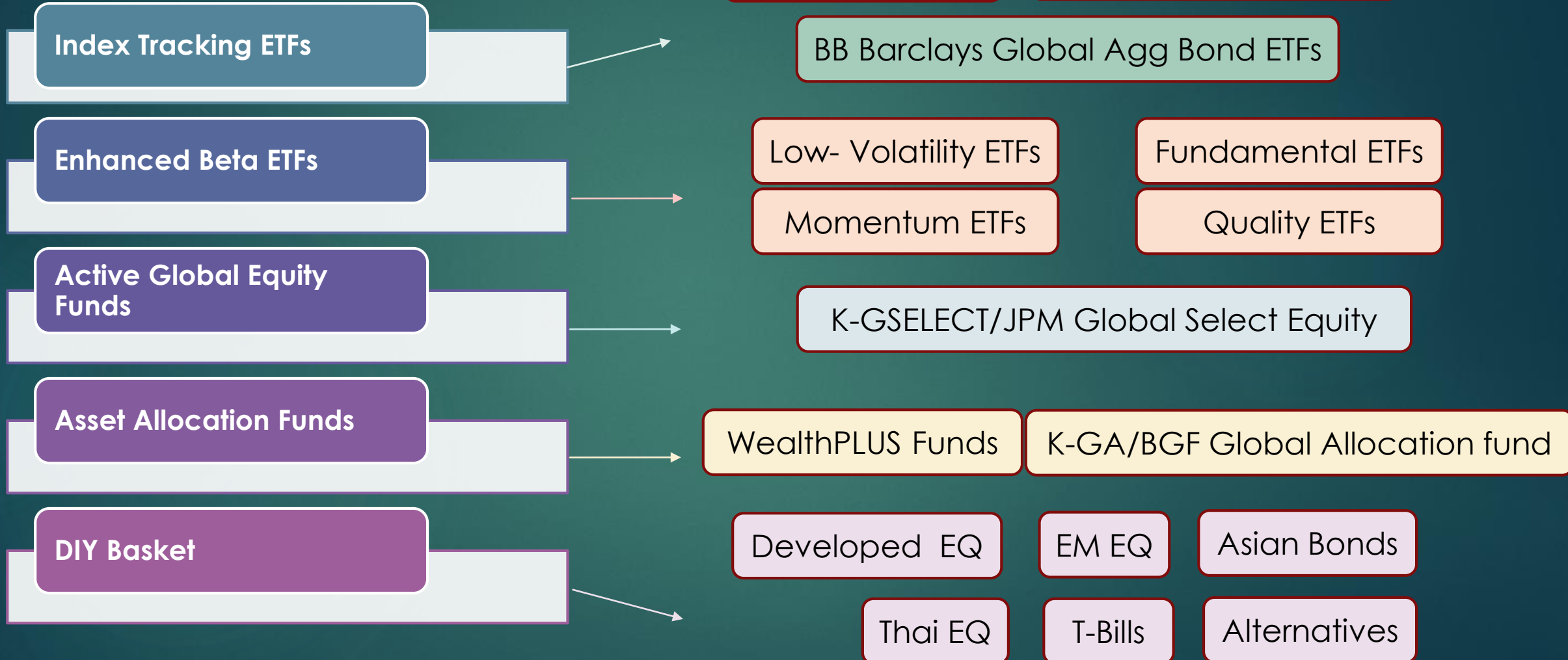
Core

Traditionally, the core part is invested in broad index funds, ETFs, or other diversified investments.

This is the steady part of the portfolio, made up of a broad, diversified pool of investments that often aims to track the market's performance.



Examples of a Core Portfolio



What is a Satellite?

The satellite portion...

- ▶ is typically around 10-40% of the portfolio.
- ▶ often focuses on the potential of high returns but also comes with a higher degree of risk.
- ▶ often invests in more aggressive or speculative investments such as individual stocks, thematic ETFs, alternative investments, etc.
- ▶ tends to have a shorter holding period in general and can served as a TAA.
- ▶ allows for other investments that align with personal goals.

2 main types of satellite



“Return-Seeking”
satellite



“Diversifying”
satellite



Focuses on opportunities to add Alpha (additional returns) to the Core portfolio.

Investment horizon

- Ensures that the investment serves its purpose as a Return Seeking Satellite.
- Longer time horizons generally allow for a more aggressive allocation.

Expected return is greater than that of the Core Portfolio

- Ensures that there is no drift in return seeking thesis (if thesis doesn't play out, recommendation should be removed)

What is a Diversifying Satellite?

Focuses on minimizing volatility and smooth out returns over time.

Correlation to other Satellite Funds is lower than 0.60

- Ensures that each Satellite Fund is sufficiently different to each other i.e. value add to portfolio construction.

Correlation to Core or Benchmark is lower than 0.60

- Ensures that the Satellite Fund is sufficiently different to the Core Allocation i.e. value add to portfolio construction.

Expected return is no less than 50% of the Benchmark

- Ensures that Satellite Funds do not drag on strategy performance. i.e. strike a balance between diversification vs. expected returns.

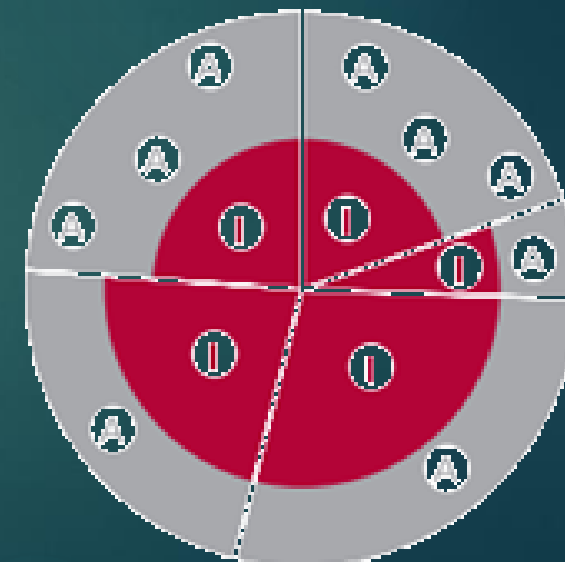
Not a regional beta fund

- Ensures that Satellite Funds have no big overlap with the beta of underlying investments in Core Allocation

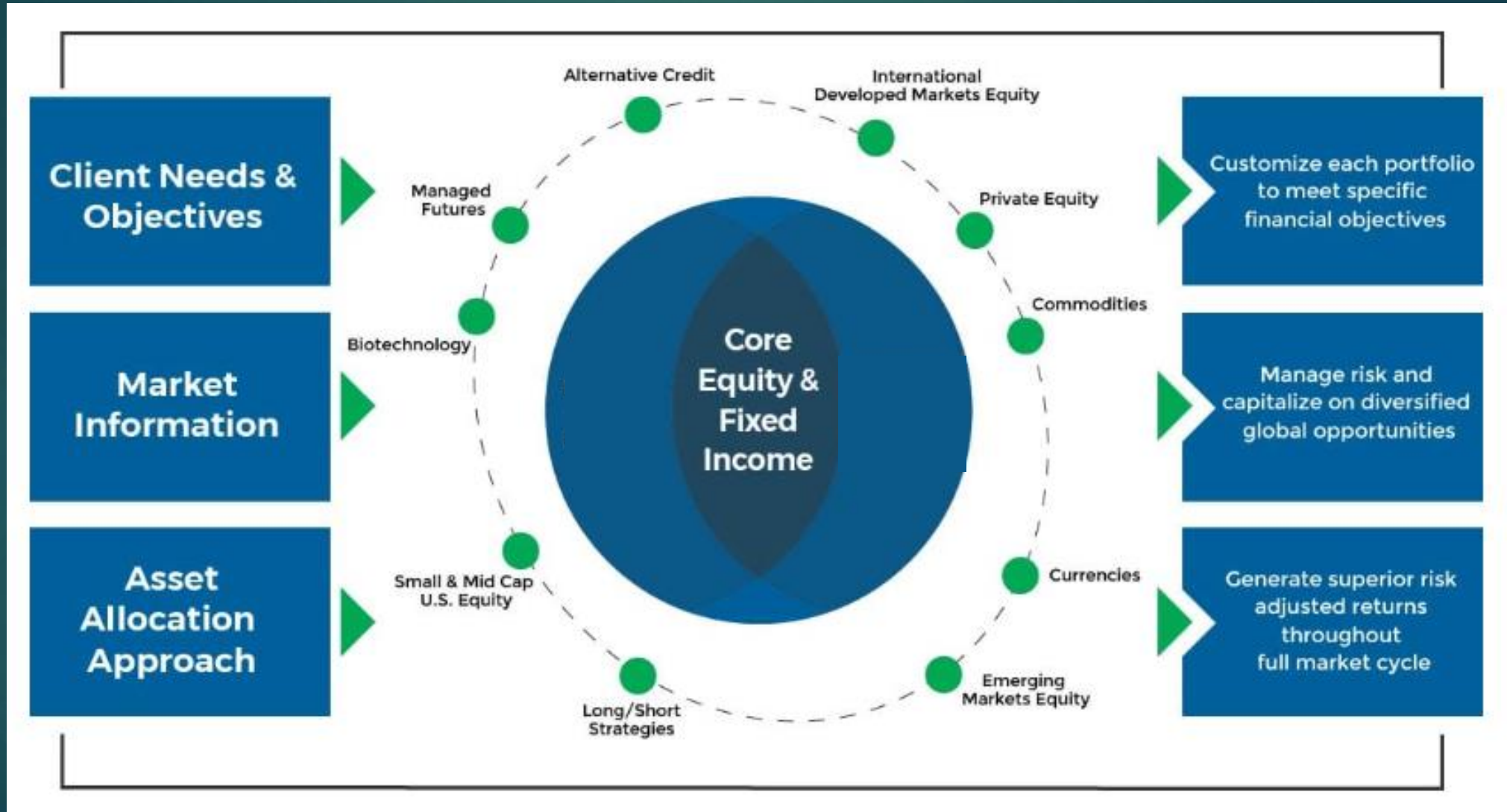
1 Determine your risk profile and asset allocation.

2 Decide how much of the portfolio to allocate to the “core” and “satellites”

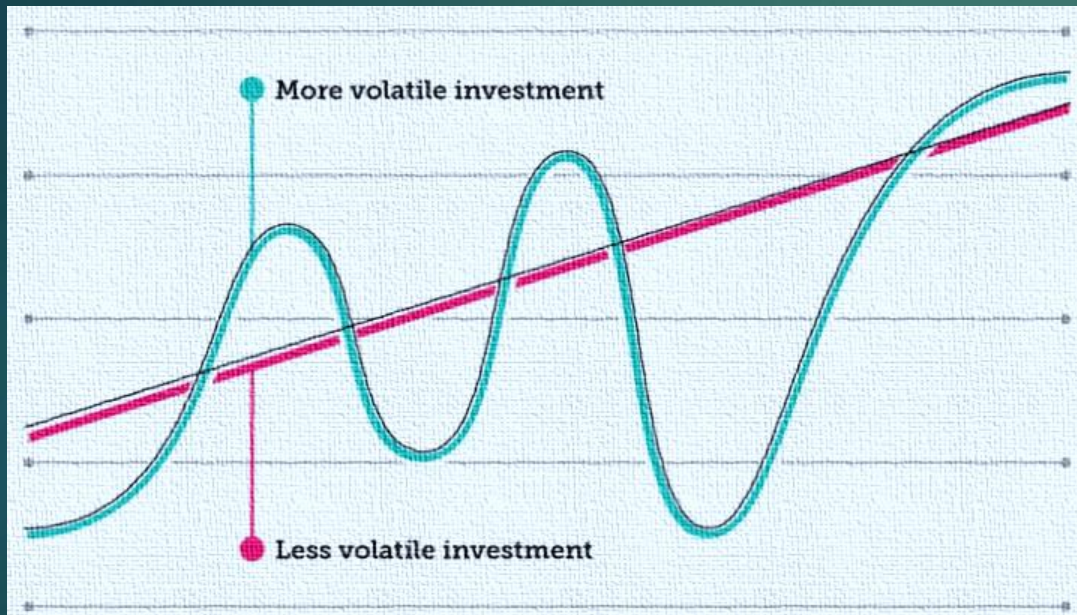
3 Select the underlying securities.



Putting everything together...



Why should we have a C-S portfolio?



Diversification:

Helps to mitigate overall portfolio risk and volatility.

Cost-Efficiency:

Strikes a balance between cost-efficiency and potential return.

Customization:

Individual preferences, risk profile and investment objectives can be factored in and personalize further as part of the satellite investing.

Limitations of C-S portfolio

- ▶ Potential for Underperformance
- ▶ Complexity
- ▶ Active Management Risks
- ▶ Monitoring and Rebalancing



THE END